"speculative nature." Thus, in practical terms, price-to-book value did not identify undervaluation in the smallest stocks either. They contend that the enterprise multiple succeeds where price-to-book value fails.

For the largest stocks, which accounted for about 94 percent of the market's total capitalization, the enterprise multiple was very good at identifying relatively undervalued stocks over the 1963 to 2008 period examined. This power persisted after the researchers controlled for the January effect and removed low-priced stocks, both of which can bias returns upward. Loughran and Wellman found that the enterprise multiple also did a better job than price-to-book value identifying undervalued stocks in the UK and Japan. The enterprise multiple is the better metric when it comes to identifying undervalued stocks. Rather than being driven by "obscure artifacts of the data"—namely the stocks in the bottom 6 percent of the market by capitalization—and the January effect, the enterprise multiple identified undervalued stocks throughout the entire universe of U.S. stocks.

Our own research confirms that the enterprise multiple has more consistently picked undervalued stocks than any other price-to-value ratio. Note that it isn't strictly correct to describe these ratios as price-to-*value* ratios. As Buffett has observed:[21]

> *Whether appropriate or not, the term 'value investing' is widely used. Typically, it connotes the purchase of stocks having attributes such as a low ratio of price to book value, a low price-earnings ratio, or a high dividend yield. Unfortunately, such characteristics, even if they appear in combination, are far from determinative as to whether an investor is indeed buying something for what it is worth and is therefore truly operating on the principle of obtaining value in his investments. Correspondingly, opposite characteristics—a high ratio of price to book value, a high price-earnings ratio, and a low dividend yield—are in no way inconsistent with a 'value' purchase.*

A more honest description is "price-to-a fundamental" ratio, but it's an unwieldy depiction that obscures rather than elucidates the meaning of the ratios. It's intuitive to understand these ratios as price-to-value ratios—low price-to-value ratios are associated with value stocks while high price-to-value ratios are associated with glamour or growth stocks—even if it's not strictly correct to describe them that way. Buffett's explanation is indisputable, but it's also true that a low price in relation to a fundamental measure is *more likely* to be associated with an undervalued stock than a high price in relation to the same fundamental measure. In conducting the research, we were, to borrow another one of Buffett's favorite phrases, more interested in being vaguely right, than in being exactly wrong. As in Ecclesiastes, the